

THE LEGAL AUDIT PRESENTS

THE RED FLAG FILE

10 clauses that quietly cost athletes millions — and
exactly what to look for before you sign anything.

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BEFORE YOU SIGN ANYTHING.

Most contract disputes in sports and entertainment don't come from a bad deal. They come from a clause that looked routine, buried on a page nobody read closely enough — until it mattered.

This isn't a substitute for having your own attorney review your contract. It's a map of the ten places deals most often go wrong, so you know exactly where to look and what questions to ask before you're the one explaining what happened.

The leverage is always in the clause. This file shows you where to find it.

THE MISSING NO-TRADE / NO-CUT LANGUAGE

A standard player or team contract doesn't automatically protect you from being traded, cut, or reassigned. Those protections only exist if they're explicitly negotiated into the deal — and by default, most contracts simply don't include them.

Athletes frequently assume a level of job security their contract never actually grants. The absence of this language isn't a red flag because it's unusual; it's a red flag because it's the default, and defaults favor the team or organization, not the athlete.

WATCH FOR

Any contract that doesn't explicitly name your no-trade, no-cut, or reassignment protections — silence here means you have none.

OFFSET LANGUAGE IN "GUARANTEED" MONEY

A guaranteed contract sounds absolute. It frequently isn't. Offset clauses let a team reduce what they owe you by whatever you earn elsewhere after a release — meaning "guaranteed" can quietly become "guaranteed, minus whatever another team pays you instead."

This single clause has turned what looked like a season-defining payday into a fraction of the number reported in the headline. The number people see is rarely the number that's actually protected.

WATCH FOR

The words "offset" or "mitigation" anywhere near the word "guaranteed" — that combination means the guarantee has a ceiling nobody announced.

ENDORSEMENT EXCLUSIVITY THAT OUTLIVES THE DEAL

Brand deals routinely include exclusivity — you can't endorse a competing product while under contract. The red flag isn't the exclusivity itself; it's exclusivity language that extends past the deal's actual term, or that's written broadly enough to block entire categories rather than direct competitors.

An athlete can find themselves locked out of an entire product category for years after a brand relationship has technically ended, simply because nobody narrowed the definition of "competitor" at signing.

WATCH FOR

Exclusivity or non-compete language with no clear end date tied to the contract's own term, or with a "competitor" definition broader than the actual product.

MORALITY CLAUSES WITH NO DEFINED TRIGGER

Morality clauses exist to protect brands from real reputational harm. The problem is language broad enough to let the other side terminate for almost any reason they later decide qualifies — "conduct that reflects poorly," with no further definition, is a clause that means whatever the brand wants it to mean after the fact.

A vague morality clause isn't protection against a real problem. It's a unilateral exit ramp for the other side, disguised as boilerplate.

WATCH FOR

Morality or conduct language without specific, defined triggers — if you can't tell exactly what would violate it, neither can anyone else until they decide to enforce it.

ASSIGNMENT CLAUSES THAT SKIP YOUR CONSENT

An assignment clause determines whether the other party can transfer your contract, your representation agreement, or your rights to a different entity without asking you first. Agencies get bought. Rights get sold. Without consent language, you can wake up represented by, or contracted to, an entity you never chose.

This matters most in representation agreements, where the relationship is built on trust in a specific person or team — not whoever ends up holding the paper later.

WATCH FOR

Any assignment clause that doesn't require your written consent before the agreement can be transferred to someone else.

NIL DEALS CLAIMING PERPETUAL RIGHTS

Some NIL and endorsement agreements quietly claim the right to use your name, image, and likeness forever — not just for the term of the deal, but permanently, even after the relationship ends. Once granted, that right can be almost impossible to claw back.

A deal that pays for one season of use shouldn't grant rights that last a career. The gap between those two things is where value quietly leaves the table.

WATCH FOR

The words "perpetual," "irrevocable," or "in perpetuity" anywhere near a grant of NIL or likeness rights.

ESCALATORS TIED TO UNDEFINED METRICS

Performance escalators sound like upside — hit a benchmark, earn a bonus. The red flag is a benchmark defined loosely enough that the other party controls whether you actually hit it: "starter-caliber production," "significant playing time," or similar language with no hard number attached.

An escalator without a defined, objective trigger isn't really upside. It's a bonus that exists on paper and nowhere else.

WATCH FOR

Any bonus or escalator tied to a subjective standard rather than a specific, countable number.

ARBITRATION CLAUSES THAT PICK THE BATTLEFIELD

Mandatory arbitration clauses are common and not inherently bad — but the venue and rules matter enormously. A clause that waives your right to sue, selects an arbitration body known to favor the other side, and locks the proceeding in a jurisdiction far from where you live isn't neutral. It's home-field advantage, written into the fine print.

WATCH FOR

Arbitration clauses that name a specific venue and governing rules without any negotiation — ask why that location, and why that arbitration body.

VERBAL PROMISES NOT IN THE WRITTEN DEAL

"Don't worry, we'll take care of that" is not a contract term. In most jurisdictions, a written agreement supersedes prior verbal promises the moment it's signed — meaning whatever was said in the room to get you comfortable often has no legal weight once the ink dries.

If a verbal assurance matters to your decision to sign, it needs to be in the document. Otherwise, it's a conversation, not a commitment.

WATCH FOR

Any important assurance made verbally during negotiation that doesn't also appear in writing in the final signed document.

THE CLAUSE NOBODY EXPLAINED TO YOU

The single biggest red flag isn't any specific clause — it's a contract with any provision you couldn't explain back in plain language if asked. Dense legal drafting isn't always a trap, but it's frequently where traps hide, because it discourages the exact scrutiny that would catch them.

If a clause can't be explained simply, that's not a reason to skip past it. It's the reason to stop and ask.

WATCH FOR

Your own hesitation. If you can't restate a clause in one plain sentence, that's the one to ask your attorney about first.

THE LEVERAGE IS IN THE CLAUSE

THIS IS THE FILE I WALK CLIENTS THROUGH BEFORE THEY SIGN.

If any of these ten patterns showed up in something you're about to sign, that's exactly the conversation worth having before the ink dries, not after.

The Legal Audit breaks down a new legal mechanism like these every week — real deals, real clauses, explained in plain language.

CONTACT THE LEW FIRM →

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